# Retail: Specialty Apparel & Accessories: 1QCY26 Earnings summary: Investor concerns tempered for now

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We summarize company results vs GSe/Visible Alpha Consensus Data as well as company commentary on consumer health, quarter-to-date trends, freight, and tariff expectations.

**Sentiment into and out of the quarter:** Investor concerns going into results largely centered on weaker consumer sentiment, particularly as it applies to the ability to lap strong comps through the year for ATZ, BOOT, Aerie, and Hollister. In our view, this quarter's results deferred but did not assuage these concerns. Although sentiment from management teams was broadly favorable across income cohorts, elevated caution around consumer resilience through the rest of the year persists, as echoed by Goldman Sachs' US economics team this week (link).

**Summarizing setups by company**

**AEO**: Reiterated FY26 guide incorporates conservative freight and tariff expectations for the remaining three quarters of the year. Favorable consumer sentiment is tempered by 1Q softness carrying into the start of 2Q in the Eagle banner, making for what we view to be modest expectations for next quarter.

**ANF:** Similarly, reiterated guide also incorporates a conservative outlook on freight and tariffs through FY26. Although the start of 2Q sounded positive in the US and APAC; EMEA overhang is expected to continue, making for appropriately modest 2Q expectations as well.

**ATZ:** Expectations for next quarter are loftiest among our coverage here, especially considering ATZ's propensity to outperform and noting sequential acceleration vs 4Q in the +30% 1Q comp guide. For the full year, mgmt's embedded freight and tariff assumptions are the least conservative among our coverage, though we expect continued strong cost leverage should persist.

**BOOT:** Striking a positive tone on the consumer and QTD trends, BOOT's comp guide reads decidedly conservative for 1Q27. Net FY27 tailwinds from freight concessions embedded in the guide mark a departure from the norm, however, though rates would have to spike materially to become a headwind. Expectation for 10% tariffs through the year is the least conservative among our coverage as well, though we note low inventory turns and high replenishment-based purchasing should help inventory planning.

**CRI:** Mgmt. reiterated FY26 guidance despite 1Q outperformance, leaving room to

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absorb potential softness in the lower-income consumer and conservative freight/tariff expectations, in our view. We note renegotiated lower ocean rates are expected to balance higher fuel surcharges, which could be threatened by a spike in oil prices.

**SIG:** The sole name in our coverage to raise guidance (albeit at the low end on comp and helped by accelerated share repo on EPS), noting relatively low freight exposure and conservative tariff guidance that calls for a return to higher tariffs through the year. Our expectations for next quarter are incrementally higher now, given what sounded like continued healthy performance in SIG's key banners; this is despite the spotty start to May and continued unit pressure in lower-priced items.

## Summarizing performance/commentary by company

**Exhibit 1: The majority of our coverage beat comp and margin expectations, with SIG the sole guide raise, though ATZ and BOOT's FY27 guide exceeded GS and street expectations**
Earnings result vs expectations, FY Guidance, and Day 1 Price Move Post Earnings

| Ticker | Quarter Reported | Comp vs GSe | Comp vs VAe | Gross Margin vs GSe | Gross Margin vs VAe | Op Margin vs GSe | Op Margin vs VAe | FY Guidance Comp | FY Guidance EPS | Day 1 Price Move Post Earnings |
|---|---|---|---|---|---|---|---|---|---|---|
| AEO | 1Q26 | (100bps) | (30bps) | 60bps | 10bps | 50bps | 30bps | Reiterated +MSD | Reiterated OI $390mil to $410mil | -11.8% |
| ANF | 1Q26 | (200bps) | (130bps) | 210bps | 240bps | 140bps | 120bps | Reiterated 3% to 5%* | Reiterated $10.20 to $11.00 | 8.9% |
| ATZ | 4Q26 | 500bps | 520bps | 30bps | 50bps | 100bps | 100bps | Initiated 19% to 24%* | Raised EBITDA Margin ~19.0%** | 4.5% |
| BOOT | 4Q26 | 170bps | 140bps | 20bps | 10bps | (60bps) | (50bps) | Intiated 2% to 4% | Initiated $8.21 to $8.64 | -1.7% |
| CRI | 1Q26 | 310bps | 340bps | 90bps | 70bps | 180bps | 160bps | Reiterated +MSD | Reiterated -LDD to -MTD | 11.7% |
| SIG | 1Q27 | 80bps | (30bps) | (70bps) | (80bps) | 50bps | 40bps | Raised low-end +50bps to -0.75% to +2.5% | Raised +2.5 to +4.5% to $9.20 to $11.00 | 3.8% |
| **Average** | | **127bps** | **135bps** | **57bps** | **50bps** | **77bps** | **67bps** | | | **2.5%** |

*ANF and ATZ do not give comp guidance so we list the total sales growth guidance; **AEO and ATZ do not give EPS guidance so we list operating income/adjusted EBITDA margin guidance, respectively.

Source: Company data, Goldman Sachs Global Investment Research, Visible Alpha Consensus Data

**Exhibit 2: Companies saw little to no pullback from consumers across income cohorts, though there were pockets of softness flagged by CRI and SIG, which skew lower-income relative to our coverage**
Consumer health commentary by company

| Company | Date | Consumer Health Commentary |
|---|---|---|
| AEO | 28-May | While AUR was up in Aerie and down in AE, mgmt. saw no difference in consumer behavior between the brands and positive performance across income cohorts. |
| ANF | 27-May | ANF saw no change in consumer performance across cohorts in the US, noting unit and AUR growth. |
| ATZ | 7-May | ATZ saw no changes in consumer behavior with increased traffic in the quarter. |
| BOOT | 14-May | BOOT highlighted lack of moderation across income cohorts or geographies, noting diversification out of the oil and gas markets over time. |
| CRI | 6-May | Though CRI saw more value-focused behavior, consumers continue to outspend on their children. |
| SIG | 2-Jun | SIG continues to see strength with upper-middle/high income consumers and the health of their private credit portfolio remains consistent. Sub-$150 price point units declined significantly, impacted by rising gold costs. |

Source: Company data, Goldman Sachs Global Investment Research

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**Exhibit 3: Most companies saw positive trends continuing into the subsequent quarter; AEO, CRI, and SIG saw green shoots for positive performance off rockier starts to the quarter**
QTD commentary by company

| Company | Date | QTD Commentary |
|---|---|---|
| AEO | 28-May | AEO saw sequential improvement through May off a rough start to the season due to weakness in women's bottoms and colder Spring. |
| ANF | 27-May | ANF saw 1Q trends continue into 2Q, with positive reactions to recent collaborations and the Spring/Summer Assortment, though Mid-East remains a drag to Hollister. |
| ATZ | 7-May | Mgmt saw strong demand for the Spring/Summer collection, noting 1Q27 gude embedds sequential comp acceleration to +30% YoY. |
| BOOT | 14-May | BOOT saw broad-based growth across channels continuing into 1Q with QTD comp up +5%, AUR up +3% and transactions up +1%. |
| CRI | 6-May | Softer April comp of -4% was expected given the shift to earlier Easter, . However, mgmt highlighted signs of positive comp in May and June from easier laps. |
| SIG | 2-Jun | A slow start to 2Q saw sequential improvement from a healthy Mother's Day with momentum continuing thereafter. |

Source: Company data, Goldman Sachs Global Investment Research

**Exhibit 4: AEO, ANF, and CRI freight guidance is most conservative; BOOT, CRI expect freight benefits through renegotiated rates**
Freight commentary by company

| Company | Date | Freight Commentary |
|---|---|---|
| AEO | 28-May | Ocean and air freight to be a slight headwind for the year; GM overall to be up YoY. |
| ANF | 27-May | Freight to be a slight headwind in the back half on higher fuel costs. |
| ATZ | 7-May | No impact specified |
| BOOT | 14-May | Freight to be a *tailwind* as the company benefits from renegoitated freight contracts with concessions and rebates that offset any increased fuel costs. |
| CRI | 6-May | Modest increase in freight surchages but expected to benefit from lower renegotiated ocean freight rates. |
| SIG | 2-Jun | Little to no impact expected |

Source: Company data, Goldman Sachs Global Investment Research

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**Exhibit 5: Most of our coverage expects a 10% tariff rate for the upcoming quarter that will revert higher by 2HCY26; ATZ and BOOT expect 10% rates to hold, however**
Updated tariff expectations by company

| Company | Date | Embedded Tariff Guidance |
|---|---|---|
| AEO | 28-May | 2Q: $20mil of incremental tariffs at a 10% rate; 15% rate for the 2H. |
| ANF | 27-May | 2Q: $20mil of incremental tariffs at a 10% rate; 15% rate for the 2H. |
| ATZ | 7-May | 1Q: -200bps of incremental tariff pressure; FY27: -50bps, with a 10% tariff rate for the year. |
| BOOT | 14-May | Did not size the impact from tariffs on margins; expect a 10% global tariff rate for the year. |
| CRI | 6-May | 2Q: GM down -10bps largely from tariffs, with a 10% tariff rate; return to IEEPA-level tariffs in the 2H. |
| SIG | 2-Jun | Mid-teens tariff rate for the year assuming new rates similar/slightly higher to current rates. |

Source: Company data, Goldman Sachs Global Investment Research

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## Valuation & Risks

### AEO

We are Neutral rated on AEO with a 12-month price target of $22 based on a target P/E multiple of 12x on our Q5-Q8 estimates.

**Upside risks:** Our biggest blind spot in evaluating AEO's potential over the medium term is the potential to drive further momentum through stickiness of recent brand partnerships, activation, and advertising campaigns. Survey data and search frequencies do not provide a granular picture of consumer sentiment let alone translate effectively to purchase intent, and a material variation between what we can see and how the consumer behaves could continue to drive better than expected comp growth and margin leverage, as we saw in 3Q25.

We could also see better sales growth in the event consumer price sensitivities drive consumers into better value-for-money brands. Management remains committed to sparing price increases as a counter to tariffs, and considering guidance for about 200bps of annualized margin headwinds, below peers like ANF and ATZ, it is well-positioned to deliver against that goal and maintain its value proposition, in our view.

**Downside risks:** These include changes in prevailing fashion that shift away from AEO's core competencies/assortments, inability to maintain inventory levels capable of meeting demand, short-term softness in seasonal windows, carryover inventory necessitating potentially excessive discounting to clear.

### ANF

We are Buy rated on ANF with a $109 12-month price target based on a target P/E multiple of 9x our Q5-Q8 EPS estimate. **Key downside risks include:** (i) brand differentiation unclear and (ii) store footprint approaching untested waters, albeit with a better toolkit, (iii) sequentially weakening comp sales momentum.

**ATZ**

We are Buy rated on ATZ.TO with a 12-month price target of C$165 based on a target P/E multiple of 29x on our Q5-Q8 EPS estimate. **Key downside risks include:** (i) unique costs/risk, (ii) pricing and value-for-money perception, and (iii) rapidly changing consumer preferences.

**BOOT**

We are Buy-rated on BOOT with a 12-month price target of $238 based on a target P/E multiple of 24x on our Q5-Q8 EPS estimate. **Key downside risks include:** (i) stickiness of western wear fashion and (ii) BOOT pricing against tariffs at odds with middle-income demo.

**CRI**

We are Neutral rated on CRI with a 12-month price target of $40 based on a target Q5-Q8 P/E multiple of 10.5x. **Key upside risks include:** (i) Better initial ROI on marketing spend that exceeds our share gain assumptions, (ii) Industry-wide pricing matches CRI's, alleviating pressure on its value-for-money proposition even among low-income consumers. **Key downside risks:** (i) Lack of stickiness or ability to continue making progress with higher-income cohort consumers, (ii) Trade-away or trade-down of core consumer into more affordable alternatives.

**SIG**

We are Neutral rated on SIG with a 12-month price target of $96 based on a target P/E multiple of 7.5x on our Q5-Q8 estimates. **Risks to the upside:** Further lowering of tariff rates, lower gold costs, better elasticity (particularly in fashion brands), favorable fashion trends emphasizing jewelry and accessories. **Risks to the downside:** Contraction in consumer wallets, particularly in the mid-to-lower income consumer where SIG's clientele tends to be concentrated, significant contraction in diamond prices, competition from start-up/DTC retailers including that stoked by fast-moving social media trends/attention.

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## Target price history table(s)

**Aritzia Inc. (ATZ.TO)**

| Date of report | Target price (C$) | Closing price (C$) |
|---|---|---|
| 08-May-26 | 165.00 | 148.35 |
| 09-Jan-26 | 145.00 | 131.47 |
| 11-Dec-25 | 130.00 | 115.28 |

**American Eagle Outfitters Inc. (AEO)**

| Date of report | Target price ($) | Closing price ($) |
|---|---|---|
| 29-May-26 | 22.00 | 15.80 |
| 11-Dec-25 | 25.00 | 25.07 |

**Signet Jewelers Ltd. (SIG)**

| Date of report | Target price ($) | Closing price ($) |
|---|---|---|
| 11-Dec-25 | 96.00 | 91.39 |

**Carter's Inc. (CRI)**

| Date of report | Target price ($) | Closing price ($) |
|---|---|---|
| 06-May-26 | 40.00 | 37.23 |
| 09-Apr-26 | 38.00 | 36.79 |
| 13-Jan-26 | 29.00 | 36.34 |
| 11-Dec-25 | 26.00 | 33.06 |

**Boot Barn Holdings (BOOT)**

| Date of report | Target price ($) | Closing price ($) |
|---|---|---|
| 05-Feb-26 | 238.00 | 188.48 |
| 11-Dec-25 | 225.00 | 207.98 |

**Abercrombie & Fitch Co. (ANF)**

| Date of report | Target price ($) | Closing price ($) |
|---|---|---|
| 05-Mar-26 | 109.00 | 88.40 |
| 11-Dec-25 | 120.00 | 110.13 |

Price targets shown in table(s) are unadjusted for corporate actions.

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